TRADING PLAN ESSENTIALS

The Foundation of Trading Success

Jared Wesley

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There’s no such thing as get rich quick. It takes hard work.

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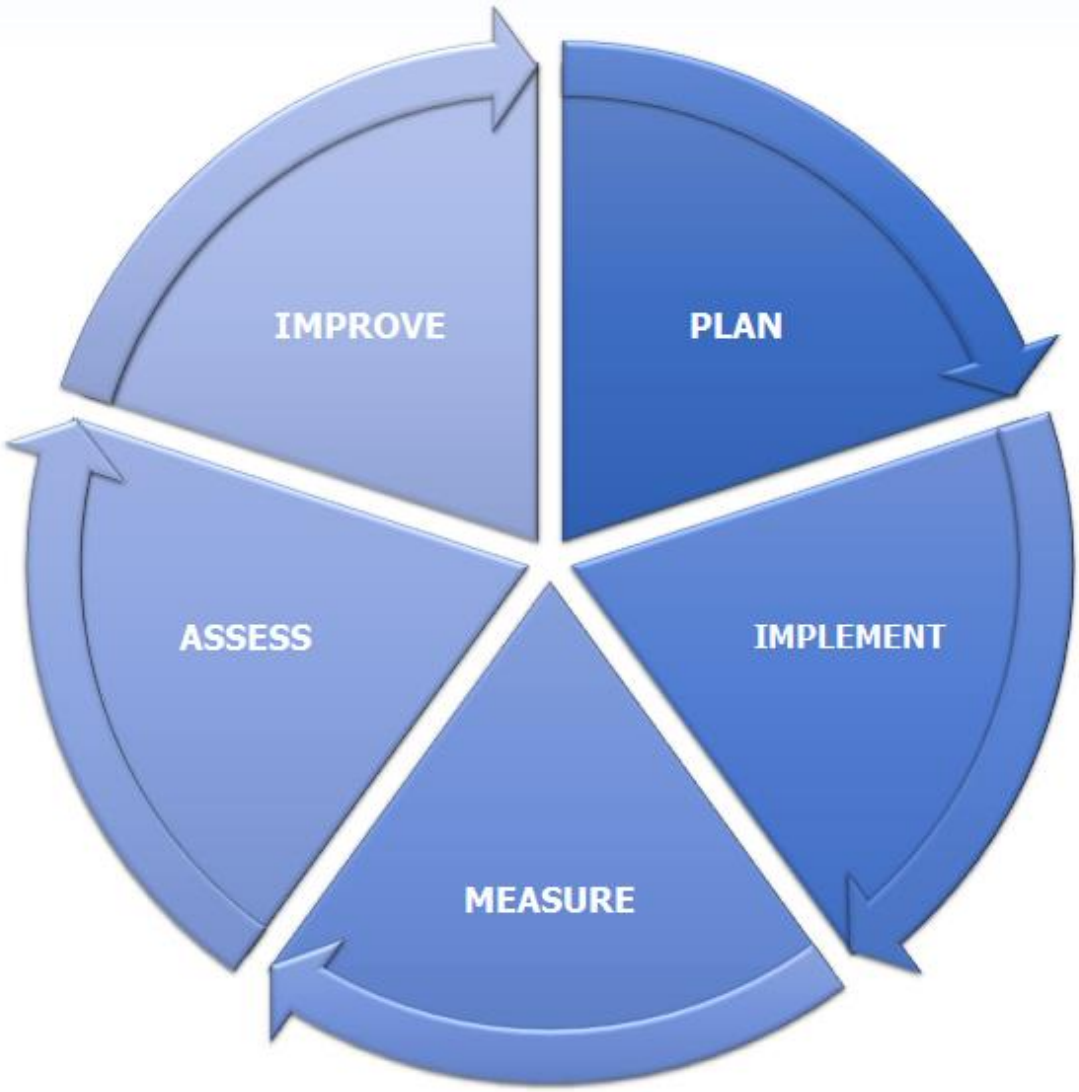
LIVE TRADERS

Planning Cycle of Success



Trading Plan Considerations

A trading plan is a written set of rules that defines how and when you will place trades and includes the following sections:

❑ Markets That Will Be Traded

- NASDAQ, NYSE, AMEX, FOREX, EMINI etc.

❑ Charts/Indicators That Will Be Used

- Weekly, Daily, 60, 15, 5 ,2 ,1
- Trend-lines & Moving Average (MA): ema or sma

❑ Account & Position Sizing Rules

- Risk Level
- Maximum Daily/Weekly/Monthly Drawdown

❑ Entry Rules

- Trade Filters: Time, Pattern, Environment, Liquidity, Spread etc.

❑ Exit Rules

- Trade Management Considerations:
  - Profit Targets
  - Stop Loss Levels
  - Time Exits (EOD etc.)

❑ Continuing Education

- Journaling & Tracking Trades
- Reading Books, Talking To Traders, Reviewing Manuals, Relaxing When Needed

Goals & Objectives

Goals: My goal is to trade 'properly,' which means always controlling risk, never trading on emotion and strictly following the rules laid out in the following pages of this plan. To achieve these goals I understand it is imperative that I do not cut corners, or allow poor judgement to creep into my psyche, which would undermine the effectiveness of the rules set forth in this trading plan.

I also understand that trading will challenge my core belief system and there will be times when I will want to break these rules in order to 'feel good' or 'be right', however, in doing so I will only be hurting myself and the long term viability of my personal trading business. I do realize that I will, on occasion, make mistakes, which could include but are not limited to: missing great opportunities, not adhering 100% to my management rules and possibly even over trading. I will do my very best to correct these mistakes as they happen, learn from them and continue to grow as a trader. IF, I find myself not learning from these mistakes, I will either seek help from a professional immediately or I will cease all trading activities, as this business is not friendly to people who break rules. Breaking rules = breaking my account.

Objectives:

- Batting Average: 50%
- Sharpe Ratio: 1.75 to 2.0
- Reward to Risk: 2:1
- Never Risk More Than 1% of My Account on and a Single Trade (1/2% is preferable)
- Maximum Number of Traders Per Day: 6
- Maximum Loss Limit Per Day: 1R per trade, 3R's per day, 9R's per week, 12R's per month = STOP TRADING immediately if these criteria are met.

Possible Outcome:

BA: 50% Sharpe: 1.75	Wins	Losses
4 Trades/Day	2	2
Per Trade	1.75R	-1R
Total Gross	3.5R	-2R
Commissions	.25R	.25R
Net Total	+3.25R	-2.25R
Weekly Net	5R	

Principals Of Trading

Principal #1: Money Management supersedes EVERYTHING. Period. It is nearly impossible to fail if you strictly abide by the money management rules that are laid out in this trading plan. Everything else is secondary. Account protection is the number rule in trading.

Principal #2: The majority of stocks tend to move WITH the market. This means that 75% of stocks will also move in the same direction as the color of the most recently completed bar in the SPY or QQQ. Trade with the trend when possible. In choppy or unbiased markets look for relative strength or weakness, or 'anytime trades.'

Principal #3: In normal market conditions it is extremely rare for stocks to have a sustained rally or decline that lasts longer than 6-8 bars without some sort of correction. Yes, this will occasionally happen during an unusual news report, however, in 'normal' market conditions it is very abnormal for stocks to move more than 6-8 bars in one direction. Most cycles are 3-6 bars, and then a reversal is likely. Knowing how to take advantage of this will not only save you a lot of money, it will also help earn you even more money!

Principal #4: The first failed attempt to make a new low in a well-established downtrend is the first sign that the balance of power has shifted from the sellers back to the buyers. The trend has likely changed and the first low in the new trend has been identified. This is also true in an uptrend. The first failed attempt to make a new high in a well-established uptrend in the first sign that the balance of power has shifted from the buyers back to the sellers. The trend has likely changed and the first high in a new trend has been identified.

Principal #5: Without control over your emotions (on some level) it will be nearly impossible to make money as a trader. This means that finding your own niche is extremely important. There are many ways to earn an income as a trader, but the easiest and longest lasting way is to figure out what your dominant personality traits are and then trade within them, otherwise you will always be fighting yourself, which is a very difficult way to succeed in the long run.

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Personal Awareness

- ❑ Know Yourself.
- ❑ Learn your strengths and weaknesses.
- ❑ Build a Psychology for success. (Work on re-programming your psychology to facilitate success.)
- ❑ Learn from your losses; hardships are tests/blessings! Remember, NO ONE wins every-time!!
- ❑ Work hard, but smart, take time off to recharge.
- ❑ Mental rehearsal, visualize your day, visualize what you want out of life.
- ❑ Don't compare yourself to others.
- ❑ Details are what separate the great ones from the average.
- ❑ Take Responsibility for ALL of your actions and results. No exceptions.
- ❑ Take control of your trading life.
- ❑ NEVER, EVER resort to a "victim" mentality.
- ❑ You're never as far away from your goal as you think, don't get discouraged!
- ❑ Though the $$ may seem far away, the change in attitude to achieve your goal is not far away.
- ❑ Read, immerse yourself in knowledge, immerse yourself in your dreams/goals; learn, learn, learn.
- ❑ You can't fail, you can achieve anything you believe and conceive.
- ❑ There are NO LIMITS except those you place upon yourself.
- ❑ Enjoy the "little" things, but be grateful for all things.
- ❑ No matter what, NEVER, EVER, EVER give up! If you never give up, you will never fail!
- ❑ No matter what, NEVER, EVER, EVER give up! If you never give up, you will never fail!
- ❑ Love what you do = Enjoy the journey.

LIVE TRADERS

Trading Awareness

- ❑ Construct an objective, measurable trading plan.
- ❑ Be flexible and open to change.
- ❑ Track all of your trades, everyday. Including time, AM/PM/Doldrums etc
- ❑ Do a post daily, weekly etc analysis on all trades, both winners and losers.
- ❑ NEVER, EVER revenge trade. "Elmer Fudd" Syndrome loses $$…take a walk, step away…
- ❑ Each trade is a new trade, independent of the last.
- ❑ Always look for high quality set-ups.
- ❑ Don't over-trade, there will ALWAYS be another set-up.
- ❑ Don't force yourself to see something that isn't there.
- ❑ Most successful traders earn the majority of their profits in 2-3 days each week.
- ❑ It's managing the "other" days that will determine your success.
- ❑ It's not the winning days that will determine your success; it's how you manage the losing days!
- ❑ When a high odds set-up is found, have the confidence to pull the trigger without hesitation.
- ❑ Be PATIENT with both set-ups and management.
- ❑ A stop is a stop, ALWAYS take your stops. Always.
- ❑ MANAGE THE CHART, NOT THE P/L!!! Let your trades play out.
- ❑ Act the same way on ALL trades, eventually the odds will be in your favor. Robotic indifference.
- ❑ Remember, selling too soon costs you more $$ than holding…it's proven, so believe it!
- ❑ Never get too up, or down, always stay positive and keep perspective!
- ❑ Relax, be calm, stay patient, trust yourself and enjoy the trading day. Success will come.

LIVE TRADERS

Trading Rules

- ❑ Every trade must have an ENTRY, STOP and TARGET before entry.
- ❑ Every trade has a PRE-DEFINED risk level that must remain consistent.
- ❑ I will always be objective, if I feel myself becoming emotional I will walk away from my computer.
- ❑ I will not take a trade unless it has a clearly defined strategy as outlined in this plan.
- ❑ When a trade is clear and meets my plans requirements, I will take it without hesitation. (assuming my money management threshold has not been met)
- ❑ I will first master the strategies in this trading plan before experimenting with new tactics.
- ❑ I will strictly adhere to my money management rules laid forth in this trading plan.
- ❑ I will not take a trade that has less than a 2:1 reward to risk.
- ❑ I will not trade after 3:30pm EST.
- ❑ I will SOH (sit on hands) when the odds are against me and there is nothing to trade.
- ❑ I will faithfully track all of my trades and learn from my mistakes.
- ❑ I will never make excuses for my short-comings, rather I will embrace them and learn from them.
- ❑ I will NEVER violate my trading plan rules.

LIVE TRADERS

Money Management

In trading a lot of people will tell you that trade management, along with mastering emotions are the most important factors to success. While I agree they are very important to success…they are entirely MEANINGLESS without proper, solid *money management*. Sadly, this is where far too many traders destroy their trading hopes and dreams…namely in the form of blown accounts which leads to quitting.

Let's be honest, the vast majority of traders lose when they begin this career path, yet over-time some become immensely successful and others fall to the way side and give up. How can this be? If most folks lose in the beginning, why do some people achieve such high levels of success while others fail? MONEY MANAGEMENT. You have to understand that the market doesn't care about you or me, or anyone for that matter. The market just is. It's neither fair nor unfair. It's neither good nor bad. It's neither this nor that. It just is.

On the one hand this is the greatest meritocracy there is, no advantage to anyone, no nepotism, no advantage to the rich or poor, no advantage to the smart or dumb, no advantage to the young or old; a truly level playing field. How perfect. Please understand that I'm not saying the market is a 100% level playing field, however for our purposes as individual traders, it is. Why? Because generally speaking the average day-trader or retail trader or retail investor for that matter has access to the same information; thus making our opportunity for success relatively equal.

So, why then do some do so well while others struggle? There are a multitude of answers to that, but the one that is most important, especially in the beginning of a trading career, is money management. Far too many traders allow their ego to take over their trading, thus risking too much too soon, and ultimately losing far more than they should, especially given their level of experience. The problem with many traders is that by the time they appreciate and understand the business, they have run out of money. How is this possible? Usually it's down to EGO. They feel like they have to raise risk to pay the bills, or perhaps they've been trading for several years now and they have to raise risk to satisfy their ego.

"I couldn't possibly tell my family friends that I am a breakeven trader after 1-2 years of doing this. In my old job I used to make $250k a year. How will they react knowing I haven't made a dime in trading yet? I need to prove to

them that I was RIGHT when I left my old job and decided to become a trader." Sound familiar, or sound like some variation of how you've felt from time to time? Don't become this type of trader because it leads to failure.

What effect does this have on our psyche? It makes us feel frustrated and inadequate, and this 'offends' our ego, and then our need to prove we are right comes out in the form of raising risk or doubling down on losing positions. Essentially 'the idiot' (we all have one) takes over which leads to poor decision making in the form of poor money management, which leads to eventual failure.

If this sounds like you, then you need to re-evaluate your money management approach, and also re-evaluate your timeline for success. The shorter you make it, the more stress you will be under, thus the more likely you will make poor money management decisions and struggle to succeed.

On the next page is a "percentage recovery chart." It shows how much you would need to earn (as a percentage) to get back to breakeven after a particular loss. Hopefully it will shed some light on just how important it is to manage your money and your account properly. Almost every single losing or failed trader can be considered a poor money manager.

Percentage Recovery Chart

LOSS %		REQUIRED GAIN
5%	→	5.3%
10%	→	11%
15%	→	18%
20%	→	25%
25%	→	33%
30%	→	43%
35%	→	54%
40%	→	67%
45%	→	82%
50%	→	100%
60%	→	150%
70%	→	233%
80%	→	400%
90%	→	900%

Money Management

As you can see from the percentage recovery chart on the previous page, the bigger the hole we dig ourselves the harder it becomes to get back to breakeven. Often times this will cause traders to make some very foolish money management decisions. It's easy to see why every trader needs to make specific rules about how much money they are 'allowed' to lose before quitting for the day, the week, the month and so on…It is also important to have 'account' based rules as well.

For example, if your trading account loses 10% of its value, then immediately stop trading and seek professional guidance. This business is NOT a game, and things can spiral out of control very quickly, so please don't take this topic lightly. If so, you could end up as an EX-trader in a very short amount of time.

Successful trading begins and ends with proper money management. Some of the smartest people in the history of the world have been brought down by ego, greed and the inability to properly manage risk. If this sounds like you, let this be your wake-up call! Ignore proper money management and you will likely be doing something else for a living real soon!

LIVE TRADERS

Money Management

There is a lot of talk about the importance or technical charts, as well as trade management in most courses, however one of (if not the most) important topic to your trading success will be **MONEY MANAGEMENT**.

If you are unable to manage your account, and keep your losing days 'reasonable' you will never be around long enough to enjoy the freedom, flexibility and financial rewards that trading has to offer. Sadly we have seen many traders through the years blow up multiple accounts and ultimately give up on the business because they failed to appreciate just how important money management was. By the time most traders appreciate the importance of money management it's too late! Don't make the same mistake.

The following pages will give you a better understanding of what proper money management looks like.

We Have 2 Simple Rules At Live Traders:

1. Be Objective & Use Common Sense!

2. Respect & Protect Your Account = Trade Small, Until You Are Consistent

YOU EARN THE RIGHT TO RAISE YOUR RISK!

'Risk' Units

What is "Risk" Level? ("R")

- Risk level is simply the amount of money you are willing to lose on a given trade if you are wrong.

- This is not something to take lightly because it will ultimately have a drastic impact on your trading success or failure.

NOTE: Most traders risk too much too soon.

- Entry – Stop / Risk = Share Size

- Entry Price: $50.00
- Stop Price: $49.50
- Risk: $500
- Share Size = 1000
- If the trade stops you LOSE $500
- If the trade goes $1.25, you make $1250 or 2.5R

Make sure to factor in slippage and fees as well.

‘Risk’ Units

Benefits of a Fixed ‘RISK’ Unit

❑ Consistent Losses

- Most traders who have trouble can generally look back on just a few really bad trades or really bad days.

❑ Money Management Can Be Planned

- You can PLAN to withstand ‘X’ number of losses in a day and not be shut down after 1-2 trades.

❑ Peace of Mind

- All trades are equal, let your batting average and sharpe ratio make you money.

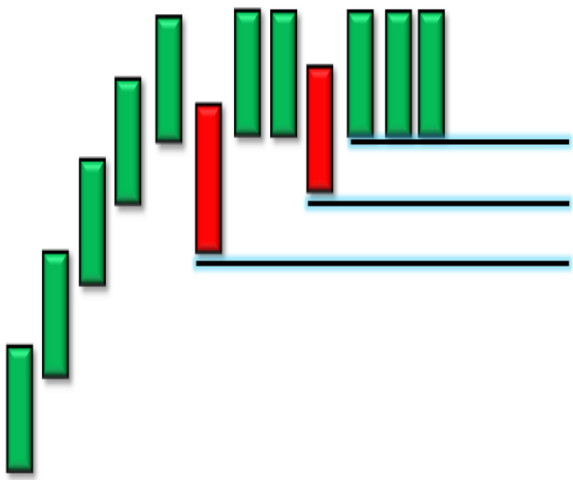
❑ No Trade is ‘Worth’ More

- Letting your ‘idiot’ bet more money on a single trade always causes bad management and undesirable results. Keep your risk consistent on every trade.

'Risk' Units

It's Usually Best To Be FLEXIBLE!

- Most trades have 'areas' in which you can place your stop loss
- If you choose the 'tightest' area, that gives you the least flexibility, but it's also the greatest Reward to Risk (R:R)
- If you choose the 'widest' area that gives you the most flexibility, but it's also the worst Reward to Risk (R:R)



Risk Level	=	$100
10 Cents	=	1000 Shares
20 Cents	=	500 Shares
40 Cents	=	250 Shares

There is no 'right' or 'wrong' answer, it really comes down to EXPECTATION, which is a topic we will discuss in the Trade Management Chapter.

Money Management

Use Common Sense

- ❑ **Respect the market and understand you can't change the market.**

- ❑ **Determine your <u>RISK</u> level based on <u>RESULTS</u>, not subjectivity.**

  - New traders should not risk more than $10-$25 per trade.

  - Experienced traders should not risk more than 1% of their account per trade.
    - Intra-Day Traders = ½% will likely be your realistic max. BP concerns.
    - Swing Traders = 1% is ok, if you have proven results over time.

  - Raise risk based on <u>RESULTS</u>, not feeling or "need."
    - <u>EARN THE RIGHT TO RAISE YOUR RISK!!</u>

  - Have specific criteria for RAISING <u>and</u> LOWERING your risk level.

- ❑ **Preservation of Capital is key, especially in the beginning.**

  - No more capital = No more trading!

- ❑ **Create a trading plan to lay out specific rules to manage your money.**

Money Management

Monitor Risk Exposure

- ❑ **Maximum Loss of 4-5R per trading day.**
  - Cannot have more than 4-5 trades open at one time, if stops haven't been raised or targets met.
  - If down 4-5R in one day, SHUT IT DOWN. No exceptions.
  - Another possibility: If you lose 3 consecutive trades, shut it down.
  - MUST HAVE these rules for daily, weekly and monthly draw downs.

- ❑ **Be mindful of buying power limitations.**
  - Make sure your risk level will allow for AT LEAST 3 open positions at one time.
  - If you hit buying power limits you could miss a good trade.

- ❑ **Control RISK by ALWAYS placing a technical stop loss.**
  - Use stop market orders for your stop losses. It guarantees you will get filled.
  - Be mindful of wide spreads and whippy stocks.
  - Be mindful of low volume stocks that could cause significant losses if you stop out.

- ❑ **Swing Traders: Limit Capital Exposure.**
  - Avoid Regulation T margin calls.
  - Prevents overexposure to GAPS against one trade.

Profit Management

❑ Daily Dollar Goals – be realistic

- Should be the same or larger than your maximum loss day.
- Example: Hit daily goal of $500. Shut it down.
- Alternate Example: Hit daily goal, continue trading until you lose 1 trade.
- Alternate Example: Hit daily goal, continue trading using a ½ risk until you lose 2 trades.
- HAVE THE DISCIPLINE TO WALK AWAY WHEN GOALS ARE REACHED!

❑ Weekly Dollar Goals

- Example: Weekly goal met on Wednesday. Take a long weekend.
- Alternate Example: Continue to trade with ½ or full lots until consecutive losers.

❑ Monthly Dollar Goals

- Percentage of profits works best.
- If the goal is $10,000, then DON'T let your profits go below $8,000, regardless of the time of the month.

Money/Risk Management

Goals: Average daily goal of 1R net per day, which will yield 5R per week and 20R per month, which should be ample to making a living as a trader.

The chart below lets me know when I need to be protecting profits for BOTH unrealized and realized gains.

Open Positions		Realized Gains	
When unrealized gains reach	Protect	When realized gains reach	Protect
2R	Breakeven	2R	Breakeven
3R	1R	3R	1.5R
4R	2R	4R	3R
5R	3R	5R	4R
6R	4R	6R	5R

As a general money management rule, I am NEVER allowed to give back more than 2R on any OPEN position, or go below BREAKEVEN after a 2R gain becomes REALIZED. Risk/Money Management is always my most important job.

Daily Loss Limit & Risk Per Trade:

Although the maximum daily loss limit is 3R, I must limit my open trade exposure to 2R at a time. Thus, if 2 positions are open for a total of '2R risk exposure,' then I cannot enter a third trade unless or until the stop has been moved to b/e or higher on the other trade(s), so as not to become overly aggressive. This will also make sure I am very cautious and specific with the trades I am choosing.

Money/Risk Management

Maximum Loss Limits: (daily, weekly, monthly)

If Cumulative Loss =
3R at ANYTIME during the **DAY**, stop take the rest of the day off and re-assess.
9R at ANYTIME during the **WEEK**, stop, take the rest of the week off and re-assess.
12R at ANYTIME during the **MONTH**, stop, take the rest of the month off trading real money and re-assess. Also, trade only ½ lots for the 1st week of the following month. If 5R or more is earned, then go back to normal risk. If more money is lost, then enroll in 1 hour of coaching with a professional from Live Traders.

NOTE: It is very important to adhere to these Money/Risk Management rules because without proper money management you will deplete your account to unsustainable levels and soon become an 'ex-trader.' There is simply no reason to be risking huge amounts of money when you start. Take your time and learn the proper way to trade, which also entails correct money management.

Blowing up an account is NOT a badge of honor, it's just plan foolish. There is absolutely no reason to ever be in that position. If you are, then you did not follow the above rules for risk management. Be smart and understand it's a process that EVERY trader goes through, no matter how smart they are or how big their account is. We all start from the bottom and work our way up as a trader. Don't let your ego trade for you.

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Trade Management

Factors That Affect Targets:

- Proximity of support or resistance areas.
- Overall quality of the trend, which includes the current location relative to support/resistance, distance between pivots areas, extendedness of the trend
- Market Environment
- RS/RW of the stock
- Whether or not the trade is WITH the trend or COUNTER TREND. NOTE: with the trend trades tend to have larger potential targets.

Management Strategies: Choose One.

2R ALL or NOTHING (AON): (most traders can't beat this 'simple' strategy)

- Stock Hits 2R Target
- Stock Stops Out
- Close The Trade Out At 3:55 EST

Alternative 'Larger Target' Management:

- Do nothing until 50% of the target is reached (targets based on higher timeframe pivots (15') of at least 2:1 reward to risk, preferably more.)
- At 75% of target drill down to a lower timeframe and move the stop loss below the most recent pivot point. Note: if NO pivot has formed then move the stop to breakeven (B/E).
- At 75% to 100% of target move to a 5' BBB, *unless* that is a wide ranged bar (WRB), then drill down to the 2' or 1' and trail it out on a BBB until it stops you out.

NOTE: once you reach 100% of target it is usually a good idea to take ½ of your position off, and then trail out the back ½ on a BBB until it stops out. If you are extremely patient, you may also trail out the back ½ on a lower timeframe pivot, but this should only be used in well trending markets on stocks that have a lot of room to move into the void.

Management Strategies

PROFIT PROTECTING vs. GOAL ATTAINING
1 Minute BBB
1 Minute 9EMA
2 Minute BBB
2 Minute 9EMA
1 Minute Pivot
5 Minute BBB
5 Minute 9EMA
2 Minute Pivot
15 Minute BBB
15 Minute 9EMA
5 Minute Pivot
60 Minute BBB
60 Minute 9EMA
15 Minute Pivot

Profit Protecting:

- ❑ **Low TF BBB (1', 2' etc.)**
- ❑ **SMALL TARGET AON (1R,1.5R)**
- ❑ **MICRO TIMEFRAME PIVOTS (1' etc.)**

Goal Attaining:

- ❑ **Higher TF PIVOTS (5', 15', 60')**
- ❑ **5', 15' MOVING AVERAGES**
- ❑ **LARGE TARGET AON (3R+)**

Profit Protecting & Goal Attaining:

- ❑ **COMBINATION/HYBRID**
- ❑ **PYRAMIDING**

NOTE: Each Trader Must Decide Which Approach Is Best For Them, As There Is NO Holy Grail In Trading!!

General Entry Requirements

General Rules:

- Stocks under $500
- Average DAILY Volume of 500,000 shares or more, UNLESS today it is doing twice its daily average. I.E. – if a stock that normally does 300k is doing 600k, it's ok to trade it, but it must be OVER 200,000 shares.
- Trade must fit a pre-defined set-up.
- Only ONE re-entry per trade. No more than 2 trades on a given symbol, unless they are winners.

Entry Rules:

- Entry, Stop and Target will always be PRE-DEFINED.
- Anticipating is ALLOWED on stocks that have a spread of over 15 cents, however, you can only anticipate a ½ lot. The remaining shares must be placed at the correctly specified entry price above resistance or below support.

  NOTE: this DOES NOT apply to breakout and breakdowns, where anticipating is very important to getting filled properly. HOWEVER, anticipating is strictly forbidden until you fully understand Level II and proper share sizing. Once an adequate understanding is reached, then anticipating FULL lots on breakouts and breakdowns is acceptable.
- Do NOT chase stocks. If the stock has moved more than 30% of the size of the stop loss, pull your order down. I.E. – if your stop loss is 30 cents, then do not pay more than 8-10c for the stock.
- If you get skipped or miss a trade, continue to watch it for another entry, but only on a legitimate pattern that is outlined in this plan.
- Use STOP LIMIT orders for entry, and STOP MARKET orders for protective stop losses.
- Use ARCA, BATS and EDGX routes. They are the most expensive, but also the most effective ECN routes for getting the best fills.

Entry Strategies:

- Only choose 2 strategies. Once they are mastered, additional strategies may be added.
  - Breakouts/Breakdowns & 3 Bar Plays
- MTFA: Multiple Time Frame Analysis: always check the higher and lower time frames to make sure there is tradable void.
- Market Timing: It's always best to trade WITH the market. See Exceptions.

General Entry Requirements

3 & 4 Bar Plays:

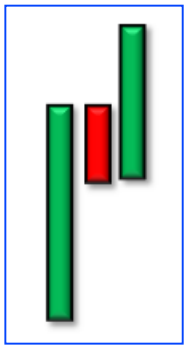
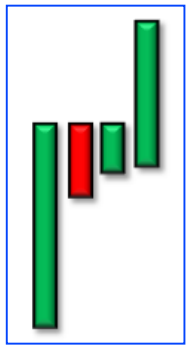
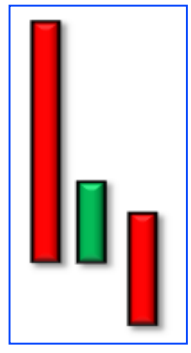
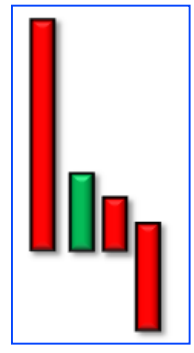
MUST HAVES:

- Wide Range Igniting Bar over a significant pivot (1st or 2nd bar of the non-extended move).
- Bar #2 must be a narrow ranged in the upper 30%-50% of bar #1.
- Bar #2 cannot move above the high of bar #1 (several pennies is fine).
- No reports coming out that could adversely affect the trade (Example: oil report while trading XOM).
- Must have 2:1 reward to risk/void.
- Must be in the direction of the overall trend or breaking out into a new non-extended trend.
- IF MID-DAY (12 noon to 2pm), cannot be on a 1' or 2' timeframe. 5' or higher.
- Daily chart must not be more than 4 days up or down, unless narrow range days.
- The spread must not represent more than 30% of the size of the stop loss.

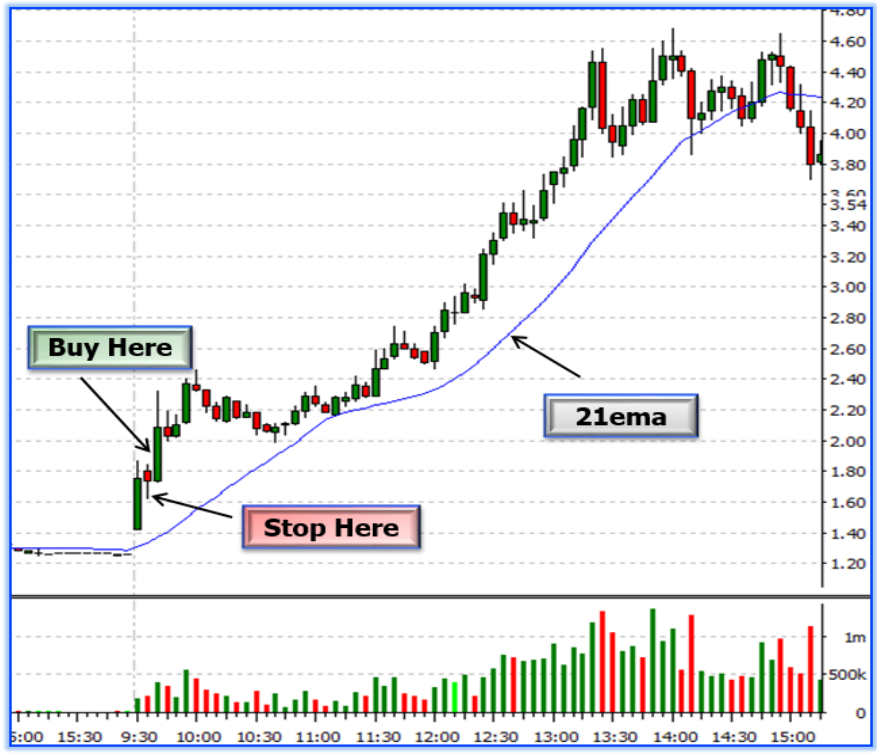
LIKE TO HAVE:

- Preferably increased volume (double avg.) on the wide range igniting bar
- Showing RS/RW to the market
- At a whole or ½ number
- Showing HUGE volume at the whole or ½ number entry point
- Bar #2 = red bar on lower, resting volume
- Time with a market bounce/drop, while it exhibits RS/RW.

A pattern must have *AT LEAST* 7 'must have' qualities and *AT LEAST* 3 'like to have' qualities in order to place the trade.

General Entry Requirements



Pre-Market & Intra-Day Routine

PRE-MARKET ROUTINE

1. Be at your desk 45-60 minutes before market open.
2. Check any 'major' news report potentially affecting the market.
3. Determine market bias.
4. Create Gap List and Rank Gap List. (Level 1/2/3)
5. Check carry-over list for stocks that might be 2nd day runners.
6. Double check important economic reports (oil, home sales, natural gas).
7. Review Gap List and carry-over list to create a 'Top 3 Watch list.'
8. Write down your ideal entry prices of your top 3-5 watches.
9. Add all gaps (in order of importance) to your thumbnail watch-list.
10. Review goals and trading plan (entry criteria, pattern pictures etc.)
11. Take several minutes to relax and visualize how your day will go.

INTRA-DAY ROUTINE

1. ABS – Always Be Scanning
    a. Scan for RS/RW plays and then take them with the correct market direction.
    b. SCANNING GUIDELINES:
        i. Neutral to Bullish Market:
            1. Scan for RS Plays
            2. $ Gainers
            3. % Gainers
            4. Gap Up Runners
        ii. Neutral to Bearish Market:
            1. Scan for RW Plays
            2. $ Losers
            3. % Losers
            4. Gap Down Runners
    c. WEEKEND SCANNING:
        i. Scan Major Indices: SPY, QQQ, DOW
        ii. Scan Major Industry Sectors for RS/RW (sector rotation)
        iii. Locate Market Trend Lines and Support/Resistance Levels
        iv. Use This Information To Help Scan Individual Daily Stock Charts

a. WEEKEND SCANNING:
   i. Scan Major Indices: SPY, QQQ, DOW
   ii. Scan Major Industry Sectors for RS/RW (sector rotation)
   iii. Locate Market Trend Lines and Support/Resistance Levels
   iv. Use This Information To Help Scan Individual Daily Stock Charts
b. DAILY SCANNING:
   i. Scan Personal Universe (200-400 stock that meet specific criteria) for daily set-ups and favorite anticipatory set-ups based on current market conditions.

1. y
2. Update favorites list as necessary (some stocks will be added and dropped)
3. Change the timeframe on your watch-lists to 5' after 10:30am.
4. (Re-)Assess overall market bias and general market conditions to determine if there is a lack of follow-through, if you should be more aggressive or possibly SOH.
5. Monitor open positions so as not to conflict with money management rules.

Post Market & Record Keeping

- Take a screen shot of all the charts of the trades you took today, including the market.

- Mark up the charts with entry, exit, target and trade result.
  - Review:
    - Pattern/Strategy
    - Entry, Exit, Stop, Time of Day, Volume, Spread, RS/RW etc.

- Write down any emotions you recall feeling before, during and after the trade

- Write down why you felt the trade worked OR didn't work. (be objective)
  - Notate anything you could have or might have done differently, as well as things you shouldn't do in the future.

- Grade each trade, each day: A, B, C, D, F
  - Give yourself a weekly and monthly report card: A, B, C, D, F
  - In addition, list several areas of distinction, as well as improvement needed.
  - Look for personal trends; both positive and negative.

- Make an 'extra' copy of all consistently recurring bad trades.

- Enter all trades and parameters into your trade tracking spreadsheet.

- Compare your daily, weekly and monthly results to your IDEAL management had you traded 'perfectly.'

REPORT RANGE		# Trades: 11	Wins: 9	Avg Winner: $1,399.74	Batting Avg: 82%	Risk	Profit	"R"
01/26/18	01/26/18	Avg. Trades: 11.0	Losses: 2	Avg Loser: ($1,072.27)	Sharpe: 1.31	$1,000	$10,453.08	10.45

M/D/Y	Source	Stock	Time In	L / S	Entry Qty	Entry Price	Stop	Exit Qty	Exit Price	Stp Size	Risk	Points	Profit	"R"
01/26/18	Jared Wesley	INTC	9:30 AM	Long	3334	$48.50	$48.20	3,334	$48.19	$0.30	$1,000	($0.31)	($1,033.54)	-1.03
01/26/18	Jared Wesley	GILD	9:31 AM	Long	1428	$82.50	$81.80	1,428	$83.40	$0.70	$1,000	$0.90	$1,285.20	1.29
01/26/18	Jared Wesley	INTC	9:34 AM	Long	2500	$48.50	$48.10	2,500	$48.75	$0.40	$1,000	$0.25	$625.00	0.63
01/26/18	Anmol Singh	INTC	9:34 AM	Long	2500	$48.66	$48.26	2,500	$49.46	$0.40	$1,000	$0.80	$2,000.00	2.00
01/26/18	Jared Wesley	BABA	9:34 AM	Long	1250	$200.00	$199.20	1,250	$200.07	$0.80	$1,000	$0.07	$87.50	0.09
01/26/18	Anmol Singh	BABA	9:35 AM	Long	1042	$200.60	$199.64	1,042	$202.52	$0.96	$1,000	$1.92	$2,000.64	2.00
01/26/18	Anmol Singh	MMM	9:38 AM	Long	1428	$254.52	$253.82	1,428	$255.92	$0.70	$1,000	$1.40	$1,999.20	2.00
01/26/18	Anmol Singh	WMT	9:38 AM	Long	5555	$107.10	$106.92	5,555	$106.90	$0.18	$1,000	($0.20)	($1,111.00)	-1.11
01/26/18	Jared Wesley	CLF	9:41 AM	Short	2000	$73.50	$74.00	2,000	$73.20	$0.50	$1,000	$0.30	$600.00	0.60
01/26/18	Anmol Singh	JD	9:44 AM	Long	2778	$48.70	$48.34	2,778	$49.42	$0.36	$1,000	$0.72	$2,000.16	2.00
01/26/18	Anmol Singh	WMT	10:27 AM	Long	3846	$107.10	$106.84	3,846	$107.62	$0.26	$1,000	$0.52	$1,999.92	2.00

Daily Trading Journal:

- **This is mainly to capture the '<u>thought process</u>' of the trader during a trade:**
  - Helps to explain the emotional state of mind during a trade
  - Allows the trader to look back and assess psychological strengths and weaknesses given certain circumstances

- **Can Use: Notebook, Binder, PC File:**
  - 3 Sections:
    - **Winning Trades**
    - **Losing Trades**
    - **All 'other' trades:**
      - Example: trades you wanted to take but chickened out, skipped trades, missed trades etc.

LIVE TRADERS

Trading Journal Entry

Trade Tracking Spreadsheet:

- Numerical record of all trades. (Winning, Losing, Good, Bad etc.) This includes a detailed list of parameters that are calculated to help the trader better assess their performance.

  - Helpful to see what is working and what isn't working.
  - Helpful for making meaningful and necessary adjustments.
  - Basically a detailed statistical analysis of all trades, including an equity curve, back test modelling and other important measurements

LIVE TRADERS

Trading Journal Entry

- Entry: $79.01
- Stop: $78.85
- TGT 1: $79.25 (1.5R)
- TGT 2: 5' Pivots
- Shares : 3100
- Risk: $500
- Comments:
- Beautiful pattern made possible by the nice daily gap and time with the market. Proper entry, proper share size. Anticipated to get filled.

- Sold back ½ at $80, or 6R, before my plan says to because I've never been up $3k on an intra-day trade before, and the wide range red bar scared me. I was very nervous about giving any $$ back.

- Not following your plan cost 3R or $1500. Need to add a rule in my plan about 5R+ moves. Perhaps go to a 5' BBB at 5R. Still adjusting to the new risk level.

Sample Tracking Spreadsheet

REPORT RANGE		# Trades:	11	Wins:	9	Avg Winner:	$1,399.74	Batting Avg:	82%	Risk		Profit	"R"
01/26/18	01/26/18	Avg. Trades:	11.0	Losses:	2	Avg Loser:	($1,072.27)	Sharpe:	1.31	$0.54	$1,000	$0.37	$10,453.08	10.45

M/D/Y	Source	Stock	Time In	L / S	Entry Qty	Entry Price	Stop	Exit Qty	Exit Price	Stp Size	Risk	Points	Profit	"R"
01/26/18	Jared Wesley	INTC	9:30 AM	Long	3334	$48.50	$48.20	3,334	$48.19	$0.30	$1,000	($0.31)	($1,033.54)	-1.03
01/26/18	Jared Wesley	GILD	9:31 AM	Long	1428	$82.50	$81.80	1,428	$83.40	$0.70	$1,000	$0.90	$1,285.20	1.29
01/26/18	Jared Wesley	INTC	9:34 AM	Long	2500	$48.50	$48.10	2,500	$48.75	$0.40	$1,000	$0.25	$625.00	0.63
01/26/18	Anmol Singh	INTC	9:34 AM	Long	2500	$48.66	$48.26	2,500	$49.46	$0.40	$1,000	$0.80	$2,000.00	2.00
01/26/18	Jared Wesley	BABA	9:34 AM	Long	1250	$200.00	$199.20	1,250	$200.07	$0.80	$1,000	$0.07	$87.50	0.09
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01/26/18	Anmol Singh	WMT	9:38 AM	Long	5555	$107.10	$106.92	5,555	$106.90	$0.18	$1,000	($0.20)	($1,111.00)	-1.11
01/26/18	Jared Wesley	CLF	9:41 AM	Short	2000	$73.50	$74.00	2,000	$73.20	$0.50	$1,000	$0.30	$600.00	0.60
01/26/18	Anmol Singh	JD	9:44 AM	Long	2778	$48.70	$48.34	2,778	$49.42	$0.36	$1,000	$0.72	$2,000.16	2.00
01/26/18	Anmol Singh	WMT	10:27 AM	Long	3846	$107.10	$106.84	3,846	$107.62	$0.26	$1,000	$0.52	$1,999.92	2.00

Note: It's important to track the parameters that you feel are most important to your trading success. It is also a good idea to add a column for comments about your trades.

LIVE TRADERS

Sample Tracking Spreadsheet

LIVE TRADERS

TRADING REPORT FOR 01/26/18 THRU 01/26/18

# TRADING DAYS	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
1	11	11.0	9	$12,597.62	$1,399.74	$2,000.64	2	($2,144.54)	($1,072.27)	($1,111.00)	$10,453.08	$950.28	82%	1.31

Direction	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
Long	10	10.0	8	$11,997.62	$1,499.70	$2,000.64	2	($2,144.54)	($1,072.27)	($1,111.00)	$9,853.08	$985.31	80%	1.40
Short	1	1.0	1	$600.00	$600.00	$600.00	0	$0.00	$0.00	$600.00	$600.00	$600.00	100%	0.00

Timeframe	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
1	2	2.0	1	$2,000.00	$2,000.00	$2,000.00	1	($1,033.54)	($1,033.54)	($1,033.54)	$966.46	$483.23	50%	1.94
2	8	8.0	7	$8,597.70	$1,228.24	$2,000.64	1	($1,111.00)	($1,111.00)	($1,111.00)	$7,486.70	$935.84	88%	1.11
5	1	1.0	1	$1,999.92	$1,999.92	$1,999.92	0	$0.00	$0.00	$1,999.92	$1,999.92	$1,999.92	100%	0.00
15	0	0.0	0	$0.00	$0.00	$1,999.92	0	$0.00	$0.00	$1,999.92	$0.00	$0.00	0%	0.00
60	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
Daily	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
Weekly	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00

Setup	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
BS	4	4.0	4	$7,999.76	$1,999.94	$2,000.64	0	$0.00	$0.00	$1,999.20	$7,999.76	$1,999.94	100%	0.00
SS	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
BO	3	3.0	2	$2,087.66	$1,043.83	$2,000.16	1	($1,111.00)	($1,111.00)	($1,111.00)	$976.66	$325.55	67%	0.94
BD	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
CRB	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
CRS	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
BULL 3BP	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
Bear 3BP	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
HI	3	3.0	2	$1,910.20	$955.10	$1,285.20	1	($1,033.54)	($1,033.54)	($1,033.54)	$876.66	$292.22	67%	0.92
LOW	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
RETEST	1	1.0	1	$600.00	$600.00	$600.00	0	$0.00	$0.00	$600.00	$600.00	$600.00	100%	0.00
OTHER	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00

Source	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
Jared Wesley	5	5.0	4	$2,597.70	$649.42	$1,285.20	1	($1,033.54)	($1,033.54)	($1,033.54)	$1,564.16	$312.83	80%	0.63
Anmol Singh	6	6.0	5	$9,999.92	$1,999.98	$2,000.64	1	($1,111.00)	($1,111.00)	($1,111.00)	$8,888.92	$1,481.49	83%	1.80

LIVE TRADERS

Sample Tracking Spreadsheet

LIVE TRADERS

TRADING REPORT FOR 01/26/18 THRU 01/26/18

Entry Time	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
9:30 - 9:49	10	10.0	8	$10,597.70	$1,324.71	$2,000.64	2	($2,144.54)	($1,072.27)	($1,111.00)	$8,453.16	$845.32	80%	1.24
9:50 - 10:10	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
10:11 - 10:40	1	1.0	1	$1,999.92	$1,999.92	$1,999.92	0	$0.00	$0.00	$1,999.92	$1,999.92	$1,999.92	100%	0.00
10:41 - 11:15	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
11:16 - 13:30	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
13:31 - 15:00	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
15:01 - 16:00	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00

Trading Plan	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
Followed Plan 100%	2	2.0	1	$2,000.00	$2,000.00	$2,000.00	1	($1,033.54)	($1,033.54)	($1,033.54)	$966.46	$483.23	50%	1.94
Mostly Followed	1	1.0	1	$600.00	$600.00	$600.00	0	$0.00	$0.00	$600.00	$600.00	$600.00	100%	0.00
Partially Followed	3	3.0	3	$3,372.86	$1,124.29	$2,000.16	0	$0.00	$0.00	$87.50	$3,372.86	$1,124.29	100%	0.00
Mostly Didn't Follow	3	3.0	3	$4,624.84	$1,541.61	$2,000.64	0	$0.00	$0.00	$625.00	$4,624.84	$1,541.61	100%	0.00
Didn't Follow Plan	1	1.0	0	$0.00	$0.00	($1,111.00)	1	($1,111.00)	($1,111.00)	($1,111.00)	($1,111.00)	($1,111.00)	0%	0.00

Weekday	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
Monday	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
Tuesday	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
Wednesday	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
Thursday	0	0.0	0	$0.00	$0.00	$2,000.64	0	$0.00	$0.00	($1,111.00)	$0.00	$0.00	0%	0.00
Friday	11	11.0	9	$12,597.62	$1,399.74	$0.00	2	($2,144.54)	($1,072.27)	$0.00	$10,453.08	$950.28	82%	1.31

Share Quantity	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
249 or Less	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
250 - 499	0	0.0	0	$0.00	$0.00	$2,000.64	0	$0.00	$0.00	$2,000.64	$0.00	$0.00	0%	0.00
500 - 999	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
1000 - 2999	8	8.0	8	$10,597.70	$1,324.71	$2,000.16	0	$0.00	$0.00	$87.50	$10,597.70	$1,324.71	100%	0.00
3000 or More	3	3.0	1	$1,999.92	$1,999.92	$1,999.92	2	($2,144.54)	($1,072.27)	($1,111.00)	($144.62)	($48.21)	33%	1.87

Minutes in Trade	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
0 - 5 minutes	2	2.0	1	$1,285.20	$1,285.20	$1,285.20	1	($1,033.54)	($1,033.54)	($1,033.54)	$251.66	$125.83	50%	1.24
6 - 15 minutes	1	1.0	1	$625.00	$625.00	$625.00	0	$0.00	$0.00	$625.00	$625.00	$625.00	100%	0.00
16 - 30 minutes	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
31 - 60 minutes	2	2.0	2	$4,000.16	$2,000.08	$2,000.16	0	$0.00	$0.00	$2,000.00	$4,000.16	$2,000.08	100%	0.00
61 - 120 minutes	6	6.0	5	$6,687.26	$1,337.45	$1,999.92	1	($1,111.00)	($1,111.00)	($1,111.00)	$5,576.26	$929.38	83%	1.20
More than 120 min	0	0.0	0	$0.00	$0.00	$2,000.64	0	$0.00	$0.00	$87.50	$0.00	$0.00	0%	0.00

LIVE TRADERS

Sample Tracking Spreadsheet

LIVE TRADERS

TRADING REPORT FOR 01/26/18 THRU 01/26/18

Share Price	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
$9.99 or Less	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
$10.00 - $24.99	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
$25.00 - $49.99	4	4.0	3	$4,625.16	$1,541.72	$2,000.16	1	($1,033.54)	($1,033.54)	($1,033.54)	$3,591.62	$897.91	75%	1.49
$50.00 - $99.99	2	2.0	2	$1,885.20	$942.60	$1,285.20	0	$0.00	$0.00	$600.00	$1,885.20	$942.60	100%	0.00
$100 or More	5	5.0	4	$6,087.26	$1,521.82	$2,000.64	1	($1,111.00)	($1,111.00)	($1,111.00)	$4,976.26	$995.25	80%	1.37

Stop size	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
0.01-0.10	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
0.11-0.20	1	1.0	0	$0.00	$0.00	($1,111.00)	1	($1,111.00)	($1,111.00)	($1,111.00)	($1,111.00)	($1,111.00)	0%	0.00
0.21-0.30	2	2.0	1	$1,999.92	$1,999.92	$1,999.92	1	($1,033.54)	($1,033.54)	($1,033.54)	$966.38	$483.19	50%	1.94
0.31-0.50	4	4.0	4	$5,225.16	$1,306.29	$2,000.16	0	$0.00	$0.00	$600.00	$5,225.16	$1,306.29	100%	0.00
0.50 and over	6	6.0	6	$26,278.70	$4,379.78	$2,000.64	0	$0.00	$0.00	$87.50	$26,278.70	$4,379.78	100%	0.00

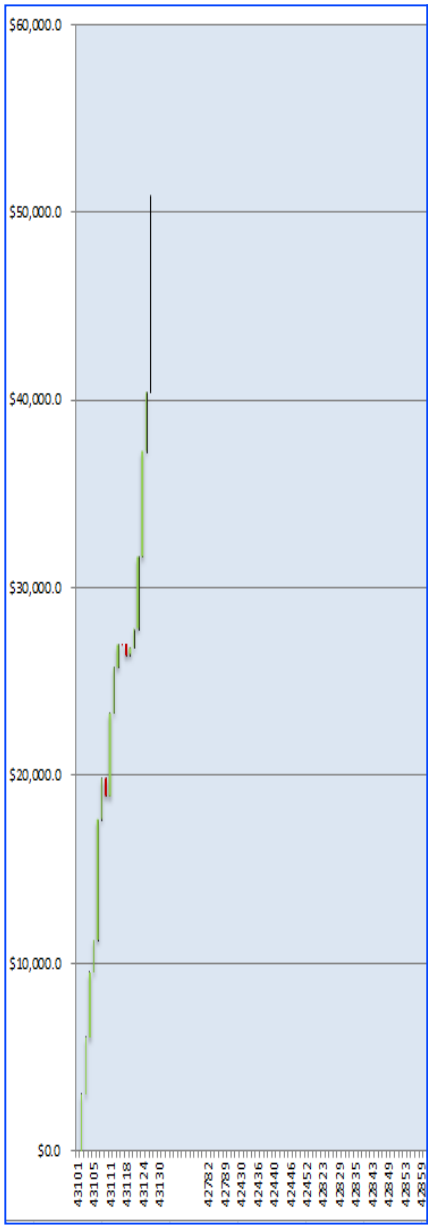
With or Against Market	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
With Market	6	6.0	5	$7,884.56	$1,576.91	$2,000.16	1	($1,033.54)	($1,033.54)	($1,033.54)	$6,851.02	$1,141.84	83%	1.53
Against Market	4	4.0	3	$2,713.14	$904.38	$2,000.64	1	($1,111.00)	($1,111.00)	($1,111.00)	$1,602.14	$400.54	75%	0.81

Trades Per day	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
1 to 2	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
3 to 4	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
5 and more	11	11.0	9	$12,597.62	$1,399.74	$2,000.64	2	($2,144.54)	($1,072.27)	($1,111.00)	$10,453.08	$950.28	82%	1.31

Months	Trades	Avg Trades/Day	Wins	Win $	Avg Win	Best	Losses	Loss $	Avg Loss	Worst	G. Profit	Avg G. Profit	Batting Avg	Sharpe
Jan	11	11.0	9	$12,597.62	$1,399.74	$2,000.64	2	($2,144.54)	($1,072.27)	($1,111.00)	$10,453.08	$950.28	82%	1.31
Feb	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
March	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
April	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
May	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
June	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
July	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
August	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
September	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
October	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
November	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00
December	0	0.0	0	$0.00	$0.00	$0.00	0	$0.00	$0.00	$0.00	$0.00	$0.00	0%	0.00

LIVE TRADERS

Tracking Your Equity Curve



LIVE TRADERS

P & L	$50,863.10	GROSS P-L
Day	Daily P&L	Cumulative P&L
1-Jan	$1.00	$1.00
2-Jan	$3,081.98	$3,082.98
3-Jan	$2,991.70	$6,074.68
4-Jan	$3,472.88	$9,547.56
5-Jan	$1,688.15	$11,235.71
8-Jan	$6,414.80	$17,650.51
9-Jan	$2,224.36	$19,874.87
10-Jan	$937.74	$18,937.13
11-Jan	$4,403.50	$23,340.63
12-Jan	$2,413.78	$25,754.41
16-Jan	$1,210.90	$26,965.31
17-Jan	$15.47	$26,949.84
18-Jan	$551.02	$26,398.82
19-Jan	$390.48	$26,789.30
22-Jan	$995.72	$27,785.02
23-Jan	$3,861.72	$31,646.74
24-Jan	$5,576.06	$37,222.80
25-Jan	$3,187.22	$40,410.02
26-Jan	$10,453.08	$50,863.10

Note: You can track your equity curve on a daily, weekly, monthly and even a yearly basis. This can help you see trends in your trading, such as seasonality and so forth.

Analyzing Performance

How Can These Stats Help You Improve?

- **Adjusting Your Plan – Possibly A Change In Emphasis:**
  - Trade Types/Patterns: BO vs. 3-Bar Play, BS, CRB
  - A Shift From Long to Short Plays, Vice Versa
  - Looking At Success Rates Given A Certain Time of Day
    - Morning BA vs. Afternoon BA etc.
  - General stock parameters
- **Could also lead to trade/money management enhancements:**
  - Changing from BBB trailing to Pivot Trailing due to a change in market environment. Stage 2 vs. Stage 3 etc.
  - Perhaps 'set it and forget it' order type to avoid over-management.
- **Basically it tells us what is working and what isn't!**
  - Gives us a better understanding of our trading, particularly in certain market conditions.
  - Overall it lets us know what we need to change to improve our trading and ultimately make more money.

Back Testing Trade Performance

What is back-testing?

❑ Taking Past Trades To Help Predict Future Trading Performance:

- Example: 9ema trailing vs. Pivot trailing
- Example: BBB trailing vs. Hybrid approach
- Example: 2R targets vs. 3R targets

Why is back-testing important?

❑ To improve your trading performance:

- Let's us see our "actual" results versus other strategies.
- Back-testing is simply a 'simulation' or assumptive projection of potential future results.
- Keep in mind, market environments change and the past is not always an indication of the future. Despite this, it is a valuable tool.
- Back-testing also lets you know if your plan is ACTUALLY working or if you need to make some adjustments.

Back Testing: What Can We Learn?

DATE	RISK	ACTUAL P/L	"AON" P/L	$ DIFFERENCE	"R" Per Day
2-Mar	$136	($69.50)	$188	$257.50	1.38
3-Mar	$135	$189.40	$807	$617.60	5.98
4-Mar	$155	$328.20	($85)	($413.20)	-0.55
5-Mar	$117	($26.86)	$319	$345.86	2.73
6-Mar	$130	$189	$369	$180	2.84
9-Mar	$154	$245.90	$406	$160.10	2.64
10-Mar	$98	$269	$1,118	$849	11.41
11-Mar	$171	($238)	($463)	($225)	-2.71
12-Mar	$143	$283.50	$528	$244.50	3.69
13-Mar	$174	($155.14)	($311)	($155.86)	-1.79
16-Mar	$190	($615.40)	($1,047)	($431.60)	-5.51
17-Mar	$130	$97.90	$326	$228.30	2.51
18-Mar	$144	$70.40	$403.50	$331.10	2.80
19-Mar	$131	$292.40	$857	$564.60	6.54
20-Mar	$94	$305.60	$980	$674.40	10.43
23-Mar	$176	($277.10)	$1,520	$1,797.10	8.64
24-Mar	$140	$252.50	$476	$223.50	3.40
25-Mar	$162	($119.60)	$790	$909.60	4.88
26-Mar	$126	$242.60	$479	$236.40	3.80
27-Mar	$185	($712.40)	($851)	($138.60)	-4.60
30-Mar	$148	$61.80	($259)	($320.80)	-1.75
31-Mar	$148	$80	($66)	($146)	-0.45
TOTALS:	$145	$694	$6,485	$5,789	44.76

This trader earned $694, yet if they had followed their trading plan perfectly using AON, they would have made $6,485. Back-testing shows the truth.

Actual Back Test

Back Testing									
Trade	Symbol	3R AON	2R AON	1.5R AON	2' 9EMA (15%)	2R AON, 1R B/E	1.5R AON, 1R B/E	Double Stop 2R AON	EOD
TOTALS		33.18	30.17	23.67	26.65	32.67	25.67	19.34	44.31
Wins		38	44	48	42	40	45	45	35
Losses		46	41	38	39	33	34	36	47
Win %	$500R	45%	52%	56%	52%	55%	57%	56%	43%
P-L Over 100 Trades		$ 16,590.00	$ 15,085.00	$ 11,835.00	$ 13,325.00	$ 16,335.00	$ 12,835.00	$ 9,670.00	$22,155.00

Actual Back-Test From Jared W. of Live Traders:

- 8 Methods Were Tested
- 1 Month Period Of Time
- 80 Trades Taken
- **ACTUAL RESULTS**:
  - 23.45R (using 1.5R AON, 1R B/E)

What can we learn from this back-test?

Trading Psychology

- I know that following support and resistance provides me an advantage, thus buying at support and shorting at resistance gives me an edge. Though sometimes these plays fail, they do represent higher odds trades.

- Losing fear means trusting in the odds/statistics and living the present.

- Being consistent is the single most important part of being a successful trader. Being consistent allows you to reliably track your trades and make meaningful adjustments.

- "What good is there in being 'right' if you DON'T get paid for it? Thus make it a point to lose small and win big, especially when trades are moving in your direction.
- I trade the markets to make money, NOT to be right, to be a hero or to get 'a fix.' This is a serious business, not a game for gamblers.

- Listening to what the market is telling you is one of your most important jobs. Then adjust your risk based on that information. DO NOT impose your own beliefs to the market. The market IS. It is neither right nor wrong. You must adapt to it, not the other way around.

- There are no secrets to trading. No holy grail. The only truth in trading is that understanding and mastering emotions is the key to success. In fact, simply understanding your reaction to certain situations and understanding them is the trick to achieving prosperity.

- Are you willing to lose money on this trade? If not, then don't take it. Period.

- Learn properly from the start, as it's much harder to correct deeply ingrained bad habits than it is to freshly develop new ones in the beginning.

- You will only win IF you aren't afraid to lose. So lose the fear as well as the need to be right.

Trading Psychology

- Trading is simply "having the knowledge to know when the odds are in your favor, the patience to wait for that moment, and then the discipline to handle the trade properly, when it goes in your favor, and properly even if it goes against you."

- Your Job:
    - Identify Your Edge
    - Assess Risk vs Reward
    - Monitor Emotions

- Succeeding in the stock market means controlling natural impulses, and reversing unwanted emotions. I.E. – Do not fear losses, rather hope for gains. Wins AND Losses are part of trading, the question is simply: Are your wins larger than your losses? If the answer is YES, then you will succeed. If the answer is NO, then you will have to adjust or fail.

- Good trades usually jump out at you. It's not rocket science, so don't overcomplicate the process. If it's immediately obvious, it's likely a good idea, if not, it's probably not.

- Discipline is the key to success and discipline is simply doing the right thing at the right time.

- Trading is 99% waiting for entries and targets and 1% activity. The 99% should be spent scanning and looking for opportunity.

LIVE TRADERS

Final Thoughts

This is a SAMPLE trading plan for you to use as a guide in creating one of your own. Each person is different, thus your plan should not be exactly the same as this one. You may choose different set-ups for your trades, you may also choose different management strategies as well. However, the main point is that your plan MUST BE followed or your will become an EX-trader very quickly. The easiest way to follow your plan is to create one that coincides with your personality style/traits. If you are a new trader, you will not immediately know what your personality traits are until you've taken some trades and felt the emotions that real market trading can produce.

Another important topic is that of 'profit protection.' When you reach certain milestones, perhaps 75% of your monthly goal, do not allow yourself to go below 50% of the monthly goal. When you reach 90% of your monthly goal, don't allow yourself to go below 75%. This way you can lock in your monthly profits the same way we lock in individual trading profits. The last thing you want to be doing is giving back hard earned profits. This is a business about making money, it's about feeling 'the rush' or gambling.

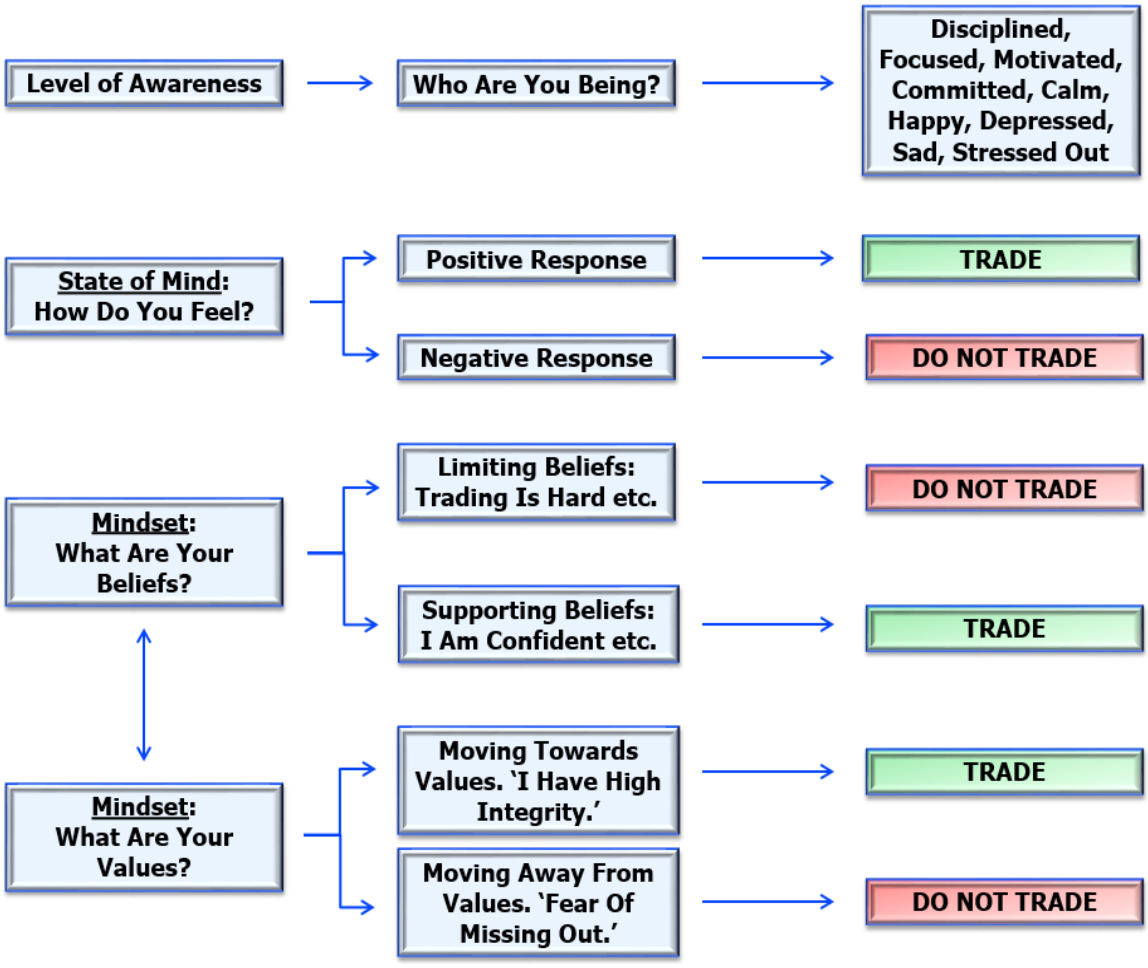
Expect that you will have some difficult times and will need to re-evaluate your approach and potentially even seek help at times. This is normal and should not be worrisome as long as you recognize the issue and take action to correct it. There are many ways to make money in the trading business, especially as it relates to management, however, there is one thing that must stay true in order to last: **consistency**. If you continually change things or don't follow your plan, you are taking your biggest advantage and turning it into a weakness. Our greatest advantage as traders (when we consistently apply our craft) is **STATISTICAL ODDS**. It's nearly impossible for these odds to work in our favor if we are always changing our approach or not abiding by the one we already have. Consistency is a path that leads to success. Trust us, when you are consistent, there is no greater business in the world than trading. The freedom, flexibility, time and money it offers are second to none!

Be diligent when putting your plan together and do not take any short cuts. Put in the work and never give up, and you will be extremely happy with the results.

The Trading Flow Chart in the following pages is meant to help keep your thought process on the right path. Please use it and abide by it.

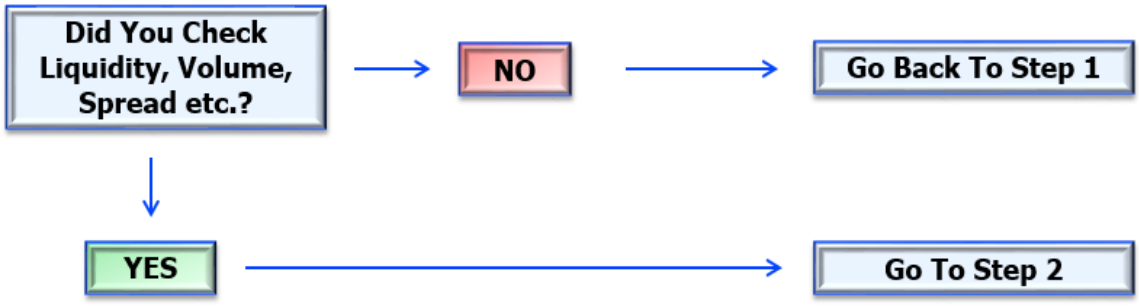
Trading Flow Chart

STAGE ONE: Self Being



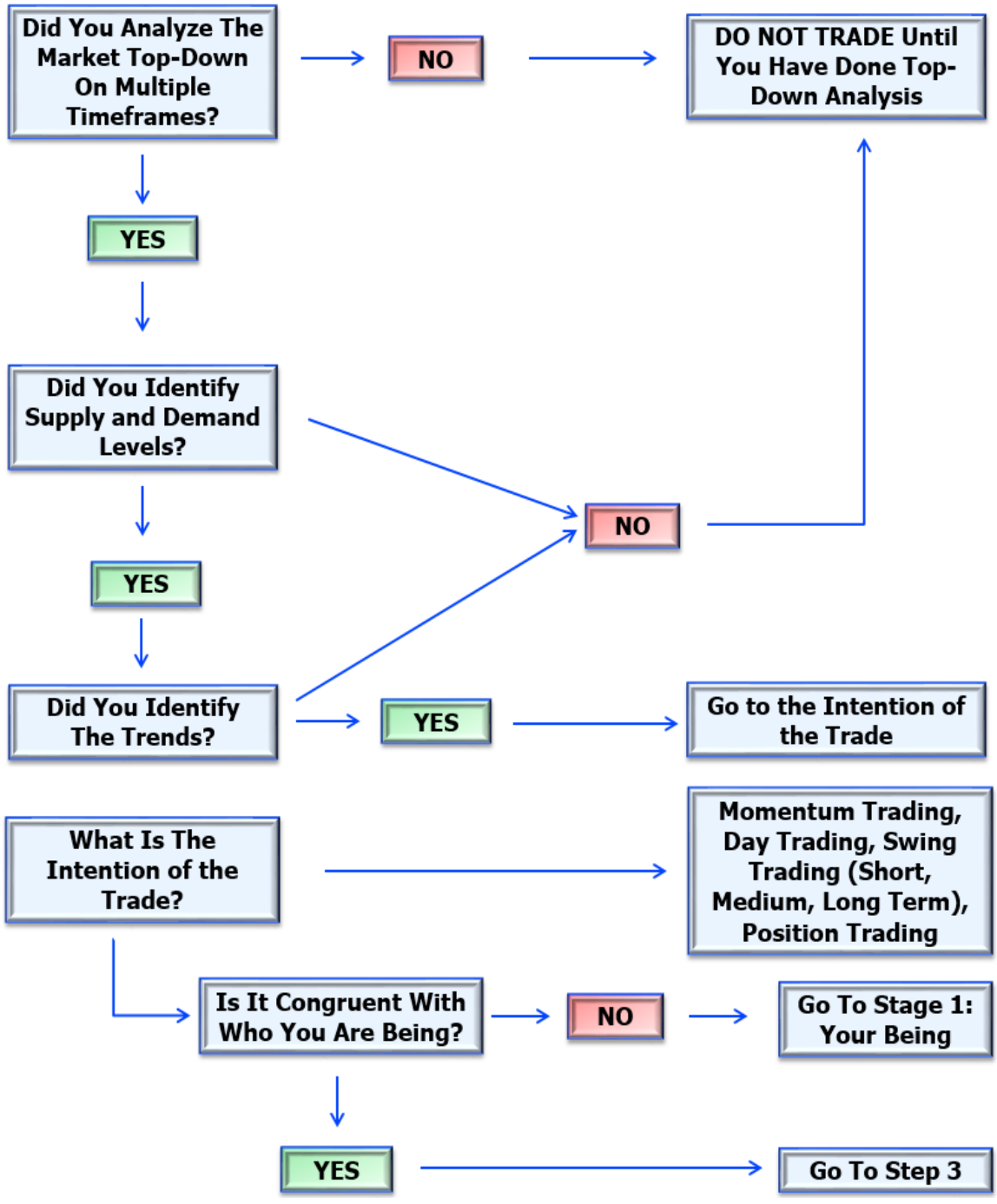
STAGE TWO: Doing/Trading

Step 1: Liquidity



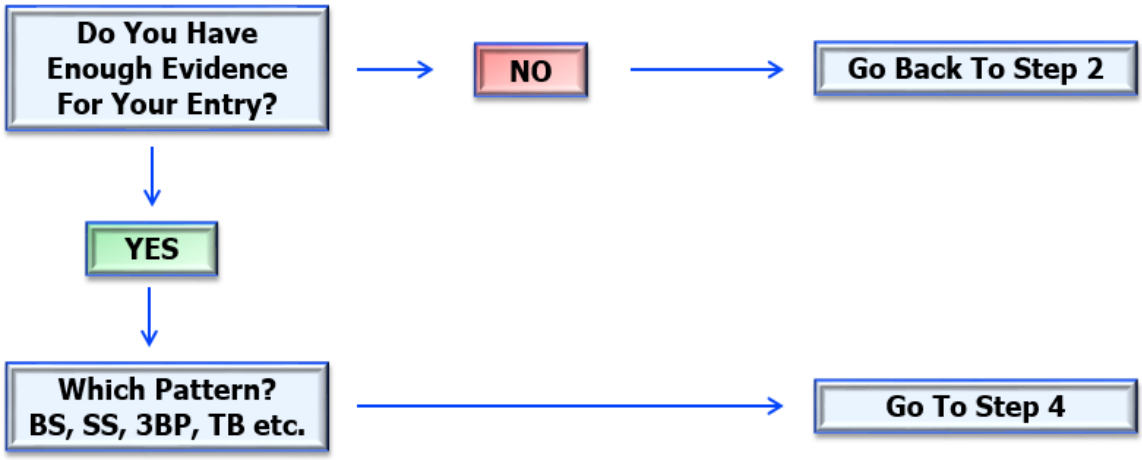
Trading Flow Chart

Step 2: Scoping The Market

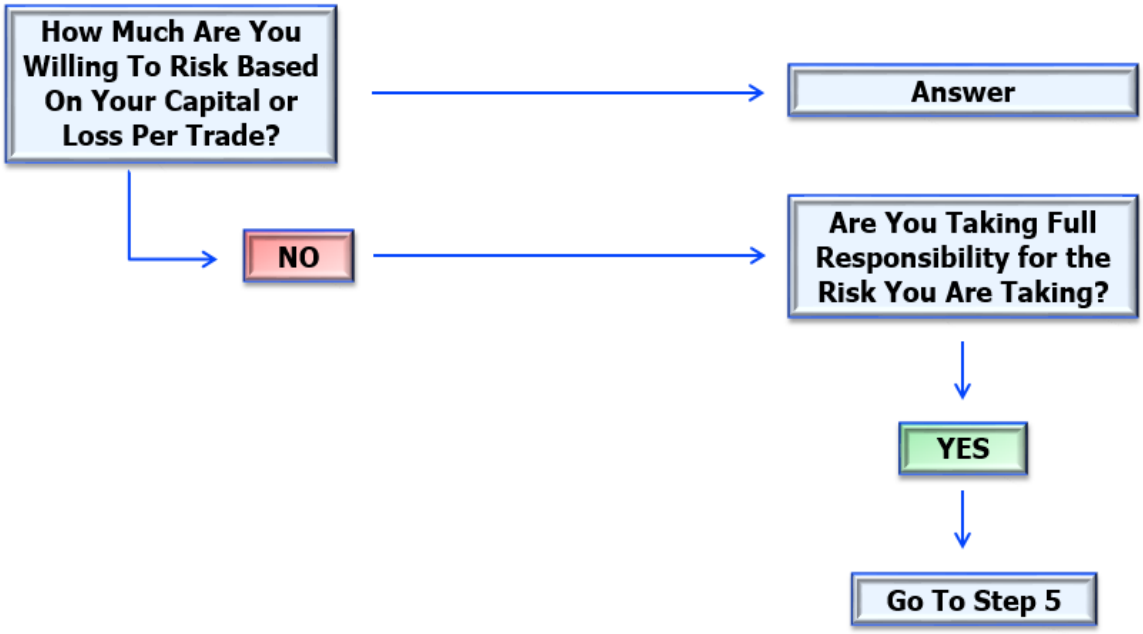


Trading Flow Chart

Step 3: The Evidence

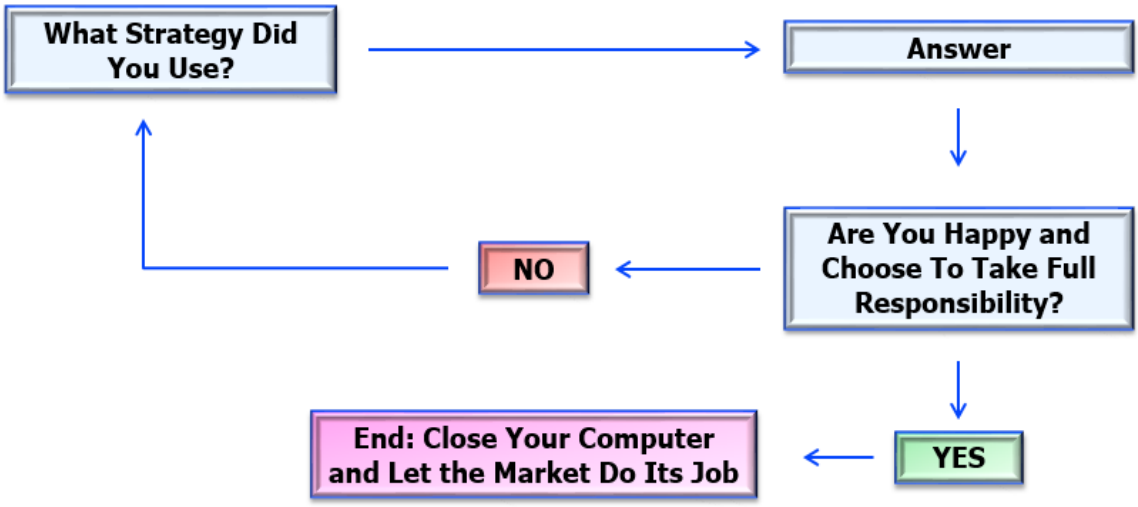


Step 4: Risk Management

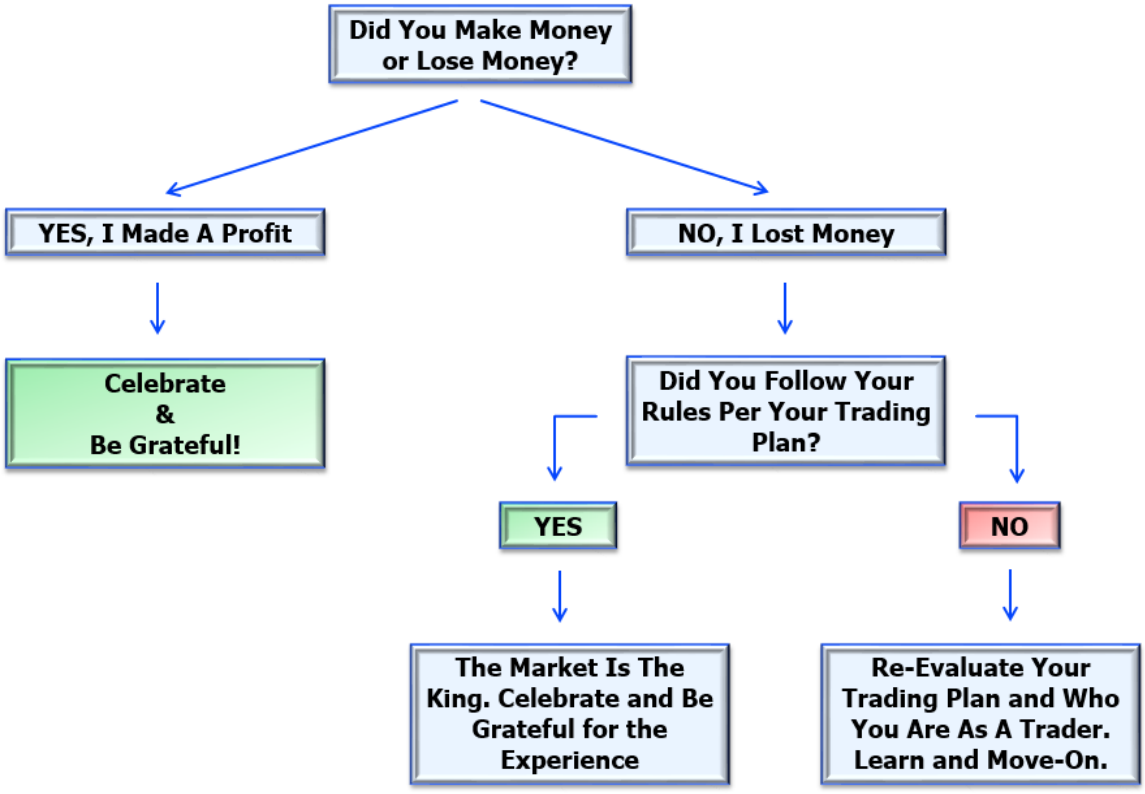


Trading Flow Chart

Step 5: Profit Maximizing Strategies



STAGE 3: Having – The Aftermath



Summary

Having a trading plan that is conducive to your personality style is CRUCIAL. Do not ignore this. Most traders chase money, without ever giving thought to personal strengths and weaknesses. It's possibly the single biggest reason traders fail; lack of a trading plan that 'fits' them.

Important Points:

- ❑ Track **ALL** of your trades.
- ❑ Make sure to have a column that includes: 'Actual' Results vs. Trading Plan Results
- ❑ Try not to adjust your plan too often: small adjustments are ok.
- ❑ One bad month of trading **DOES NOT** equal a bad trading plan (assuming you're following it).
- ❑ Trading plans **ONLY** work when they are followed **CONSISTENTLY** over *extended* periods of time.
- ❑ We are 'odds' traders, so let the odds play out in your favor = **TRUST THE PLAN**.

LIVE TRADERS

About The Author

Jared R. Wesley is co-founder of Live Traders and a professional trader with more than 14 years of experience. After graduating from Boston College he was drawn to the technical side of the markets upon becoming frustrated after spending time on a buy side institutional trading desk at a large Wall Street bank. He felt that many of Wall Street's 'elite' had no *real* understanding of how the markets actually worked. Most seemed to only be interested in FEES, which is why the majority of professionals typically underperform the markets in the long run and is also a reason why many technical traders struggle to succeed as well. Frustrated by this approach Jared took it upon himself to learn as much as he possibly could about what makes the markets move and how that could be taken advantage of.

Mr. Wesley has mentored and privately consulted hundreds of traders and fund managers over the course of his career. He currently specializes in shorter term time-frames such as the 1', 2' and '5 charts, and prefers to focus mainly on the first hour of the trading day to produce income, when not core trading for wealth. He is a true master at trading the market open. Jared has also been featured in many 'Money Show' live trading exhibitions, Trading Pub live trading webinars and written articles for various publications such as Reuters and Bloomberg. Jared is a staunch believer in proper trade and money management and feels strongly that we all control our own destiny in this industry. Simplicity, while also controlling fees is the best approach to trading and investing successfully and having a purpose beyond just 'the money.' When he is not trading and investing Jared spends the majority of his time with his wonderful wife Haruyo and three beautiful children Kaiya, Emmi and Ty.

Email: Jared@LiveTraders.com

LIVE TRADERS